

these variations on the common stock is immensely magnified by reason of the small amount of common stock in comparison with the senior securities.⁴ The large depreciation allowance acts also as the equivalent of a heavy fixed charge. Hence a decline in net before depreciation from \$3,266,000 in 1929 to \$1,540,000 the next year, somewhat over 50%, resulted in a drop in earnings *per share of common* from \$84 to only \$3.74. The net profits of American Maize Products were fully as variable, but the small amount of prior charges made the fluctuations in common-stock earnings far less spectacular.

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Year	Net before depreciation*	Depreciation*	Fixed charges and pfd. dividends*	Balance for common*	Earned per share
1933	\$2,563	\$743	\$652	\$1,168	\$55.63
1932	1,546	753	678	114	5.43
1931	892	696	692	496(d)	23.60(d)
1930	1,540	753	708	79	3.74
1929	3,266	743	757	1,766	84.09
1928	1,491	641	696	154	7.35
1927	1,303	531	541	231	11.01
1926	2,433	495	430	1,507	71.77
1925	792	452	358	18(d)	0.87(d)
1924	1,339	419	439	481	22.89

⁴ In 1934 the company declared a 100% stock dividend, thus doubling the number of shares of common, and in 1937 split the stock 10 for 1 and changed the par value from \$100 to \$10. These two developments multiplied the outstanding shares by 20. Persistence of the variable factor in the earnings for the common stock is shown by the following per-share figures, based on the 1933 capitalization:

1934	\$28.46
1935	2.76(d)
1936	52.88
1937	18.40(d)
1938	38.80
1939	68.00